

Coca-Cola

Feedback from JPM All-Stars Conference: Not Immune to Deceleration, but Still a Relative Winner, in Our View

We hosted The Coca-Cola Company (KO, Overweight-rated) at the U.S. All-Stars Conference in London last week. Representing KO were Robin Halpern, VP of Investor Relations and Taylor Polivka, Senior Director of Investor Relations. Key topics discussed in the conference meetings were (1) KO's ability to sustain best-in-class long-term growth algorithm, which includes organic sales growth of +4-6%, (2) portfolio evolution to meet consumers' preference for hydration and ready-to-drink protein, (3) GLP-1, MAHA, risk of excise tax in Mexico, and (4) digital transformation encompassing the three pillars of the business (consumer, customer and enterprise). We highlight the main takeaways below.

- **Slightly Reduced Estimates (a Penny Lower).** In light of the more cautious tone around volumes at a competitor conference earlier this month, we are lowering our estimates for Q325. We now expect organic sales growth of 4.9% (based on -0.1% concentrate volumes with headwind due to shipment timing) or +5.6% based on consumption (i.e., +0.6% unit case volumes, down from +1.7% before, and +5.0% price/mix). We anticipate EPS of \$0.79 for Q3 and \$2.98 for FY25, both a penny lower than our previous estimate (we are now \$0.01 above Bloomberg consensus for Q3 and in-line for FY25).
- **KO Remains Best-in-Class. Reiterating OW rating and Dec-26 PT of \$79.** Despite the deceleration in volumes, we reiterate our Overweight rating and Dec-26 price target of \$79. Our PT is based on 22.7x P/E (in-line with KO's 10-year average multiple) on our new 2027 EPS estimate of \$3.46 (\$3.48 prior). We think KO remains best-in-class and a core holding among global Staples stocks as we think it will be able to deliver organic sales growth at the midpoint (~+5%) of its long-term algorithm when most staples peers are printing ~1-2% OSG. Our \$79 price target implies ~19% upside potential in the next approximately 15 months plus a ~3% dividend yield.
- **Deceleration in Volumes in Q325 Is Well Telegraphed at This Point.** Investors who met KO at our conference asked about the most recent trends, as discussed at a recent competitor conference - to recall, COO Henrique Braun comments were: "...And what we have been seeing, actually, lately is that that has been a momentum that it's slower than expected. We saw in the Q2, in a few markets, in Q2, we saw that we were a little bit slight negative on volume. We still delivered on the top line. And we continue to see a slow momentum in some key markets that volumetrically are important, like Mexico and a few markets in APAC, like India, for instance, and a few others, like Vietnam and Thailand." We note that KO shares are down 6.0% in the last month against the Staples XLP down 3.7% in the same period, which leads us to believe that the buy-side is already contemplating lower volumes.

Overweight

KO, KO US

Price (19 Sep 25):\$66.43

Price Target (Dec-26):\$79.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur
Revenue - 25E (\$ mn)	48,399	48,392
Revenue - 26E (\$ mn)	51,115	51,018
Adj. EPS - 25E (\$)	2.99	2.98
Adj. EPS - 26E (\$)	3.24	3.20

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.72	0.73A	0.78
Q2	0.84	0.87A	0.94
Q3	0.77	0.79	0.85
Q4	0.55	0.59	0.64
FY	2.88	2.98	3.20

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	82	86	87	84	88
Growth	97	95	84	53	88
Momentum	49	37	28	39	82
Quality	18	17	21	13	14
Low Vol	1	1	1	1	12
ESGQ	36	82	21	31	10

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	6.7%	-5.3%	-4.0%	-5.9%
Rel	-6.6%	-9.2%	-15.4%	-22.6%

Company Data

Shares O/S (mn)	4,321
52-week range (\$)	74.38-60.62
Market cap (\$ mn)	287,044.00
Exchange rate	1.00
Free float (%)	81.5%
3M ADV (mn)	16.32
3M ADV (\$ mn)	1,128.8
Volatility (90 Day)	15
Index	S&P 500
BBG ANR (Buy Hold Sell)	29 3 0

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Revenue	46,897	48,392	51,018	53,444
Adj. EBITDA	15,160	16,359	17,440	18,615
Adj. EBIT	14,085	15,190	16,124	17,164
Adj. net income	12,463	12,855	13,790	14,868
Adj. EPS	2.88	2.98	3.20	3.46
BBG EPS	2.85	2.98	3.19	3.42
Cashflow from operations	6,805	5,579	14,536	15,667
FCFF	4,741	3,375	12,220	13,241
Margins and Growth				
Revenue Growth Y/Y (%)	2.4%	3.2%	5.4%	4.8%
Total Organic Sales Growth (%)	-	-	-	-
Gross margin	61.1%	61.5%	61.5%	61.7%
EBITDA margin	32.3%	33.8%	34.2%	34.8%
EBITDA Growth Y/Y (%)	4.8%	7.9%	6.6%	6.7%
EBIT margin	30.0%	31.4%	31.6%	32.1%
Net margin	26.6%	26.6%	27.0%	27.8%
Adj. EPS growth	7.2%	3.3%	7.5%	8.1%
Ratios				
Net debt/EBITDA	2.1	2.3	2.0	1.7
ROIC	-	-	-	-
ROE	49.1%	48.5%	45.5%	42.5%
Valuation				
FCFF yield	1.7%	1.2%	4.3%	4.6%
Dividend yield	2.9%	3.1%	3.2%	3.4%
EV/Revenue	6.4	6.4	6.0	5.6
EV/EBITDA	19.9	18.8	17.5	16.2
Adj. P/E	23.0	22.3	20.7	19.2

Summary Investment Thesis and Valuation

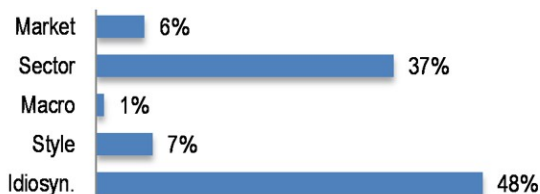
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2026 price target is \$79, based on 22.7x P/E (in-line with KO's 10-year average multiple) on our 2027 EPS estimate of \$3.46, despite some deceleration in volume (still best-in-class), better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$79 price target implies ~19% upside potential in the next approximately 15 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.22	0.25
Sect: Cons Staples	0.67	0.63
Ind: Food Bev & Tobacco	0.80	0.73
Macro:		
US Dollar	-0.34	-0.26
US 10yr yield	-0.04	-0.16
Crude Oil	-0.14	-0.10
Quant Styles:		
DivYld	0.45	0.44
LowVol	0.39	0.38
Growth	-0.22	-0.27

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Hispanic Consumer in the U.S. Remains Challenged and Ripple Impact in Mexico.** As KO and most CPG management have been discussing for a while now, Hispanic consumer demand remains subdued. While demand has improved somewhat in the U.S. more recently, management acknowledges that demand among cohort remains lackluster. Monetary remittances to Mexico are also down, which is contributing to the deceleration in consumption in Mexico, along with impacts from unfavorable weather.
- **Risk of Additional Excise Tax in Mexico May Be Another Headwind in 2026.** Adding to the uncertainty is the risk of demand impact from a potential increase in excise tax in Mexico. Mexico's government is proposing a 87% increase in taxes on flavored beverages (IEPS), which our Mexico team expects to be approved in congress given the government's majority position. It is not the first time that the Mexican government has imposed taxes on sugary drinks. In 2014 when Mexico implemented a Ps 1 per liter excise tax (leading to 10-15% increase in final price), volume in Mexico for KO were down ~1% (we note that Mexico represents ~44% of Latin America unit case volumes). To offset the impact if this excise tax becomes effective, our Latin America colleagues led by Lucas Ferreira estimate that Mexican bottlers KOF and AC will have to raise prices by 11-12% (apart from inflation), which may drive a 3-5% reduction in volumes - link to their note: [Mexican Bottlers: Beverage Excise Tax Deep Dive: Lowering Estimates but Keeping OWs on Valuations.](#)
- **Fast to Pivot Portfolio to Adapt to Consumer Needs for Hydration, Energy and Protein. KO Offers a Unique Portfolio of 30 Billion Dollar Brands.** One of the key reasons KO has been delivering OSG well ahead of peers (9% CAGR in OSG in since 2019, 7% excluding high inflationary countries and inclusive of 2% volume CAGR) is due to a disciplined approach to innovation to meet consumer needs and sharp execution. With 78% of the global population living in D&E markets where commercial beverages make up only 32% of liquids consumed vs. 70% in developed markets, we believe there is ample room for KO to continue to drive growth in these markets but also in developed markets. One example is fairlife which is only sold in the U.S. and Canada at this point. The brand had retail sales of just about \$10M in 2014 and within the last 10 years was able to catapult sales to ~\$4bn in retail sales. While there has been some deceleration due to lack of capacity and retailers on allocation, new capacity coming through gradually beginning early 2026 should help KO sustain this momentum and allow the company to increase distribution of the fairlife Nutritional Plan (only available at Costco at this point). COO Henrique Braun acknowledged that competition is not sitting still: *"What we know about our industry, globally, as well, whether it's developed or developing markets, 30,000 new products or brands or SKUs come to play every year, come to the market. Five years later, 85% of all these introductions are gone. And less than 1%, after seven to 10 years, actually make it to \$1 billion brands."* KO offers a unique and well diversified portfolio 30 billion dollar brands.
- **Network Effect of KO's Digital Transformation Is a Superpower.** One of the key competitive advantages that KO was able to develop over the past few years has been the integration of technology and strategy that the company calls "three pillars of consumer, customer and enterprise". This has led to a faster speed to market for innovation and better collaboration between bottlers and retailers. These capabilities are quite impressive in our view as KO does not have full control of the last mile, given its asset-light franchise model. Despite the high complexity of managing ~200 bottlers around the globe, KO has been able to position itself well ahead of a fully digitized world.

Table 1: KO Financials - JPMc

Sales Drivers	1Q25	2Q25	3Q25E	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
EMEA	2.5%	6.1%	7.5%	10.0%	6.5%	9.5%	6.5%	5.5%	4.5%	6.5%	4.5%	4.5%	4.5%	4.5%	4.5%
% change volume (days adj)	3.0%	3.0%	3.0%	2.0%	2.1%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
% gallon variance	-2.0%	-1.0%	-2.0%	1.0%	-0.8%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% currency	-6.0%	1.0%	1.5%	3.0%	-0.1%	5.0%	2.0%	1.0%	0.0%	2.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% price/mix	6.0%	3.0%	5.0%	4.0%	3.3%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
% change structural	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
LATIN AMERICA	0.5%	-0.2%	4.5%	13.0%	4.5%	9.0%	9.0%	6.5%	3.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%
% change volume (days adj)	0.0%	-2.0%	0.5%	1.0%	-0.1%	-0.5%	0.5%	-1.0%	-1.0%	-0.5%	2.0%	2.0%	2.0%	2.0%	2.0%
% gallon variance	-3.0%	1.0%	0.0%	1.0%	-0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% currency	-16.0%	-17.0%	-8.0%	3.0%	-9.4%	5.0%	4.0%	3.0%	0.0%	2.9%	0.0%	0.0%	0.0%	0.0%	0.0%
% price/mix	16.0%	15.0%	12.0%	8.0%	12.7%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%
% change structural	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
NORTH AMERICA	3.3%	3.4%	2.5%	4.0%	3.3%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
% change volume (days adj)	-3.0%	-1.0%	-1.0%	-1.0%	-1.4%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
% gallon variance	-1.0%	1.0%	-0.5%	1.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% currency	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% price/mix	8.0%	3.0%	4.0%	4.0%	4.6%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
% change structural	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
ASIA-PACIFIC	-0.6%	4.7%	0.0%	7.0%	2.6%	10.5%	8.0%	8.0%	8.0%	8.6%	8.0%	8.0%	8.0%	8.0%	8.0%
% change volume (days adj)	6.0%	-3.0%	-1.0%	0.0%	0.5%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
% gallon variance	2.0%	-2.0%	-1.0%	1.0%	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% currency	-6.0%	-2.0%	0.0%	2.0%	-1.7%	2.5%	0.0%	0.0%	0.0%	0.6%	0.0%	0.0%	0.0%	0.0%	0.0%
% price/mix	-1.0%	10.0%	2.0%	4.0%	3.8%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
% change structural	-5.0%	0.0%	0.0%	0.0%	-1.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
BOTTLING INVESTMENTS	-19.5%	-8.3%	1.0%	4.0%	-6.5%	5.0%	4.0%	5.0%	6.0%	5.0%	6.0%	6.0%	6.0%	6.0%	6.0%
% change volume (days adj)	-17.0%	-5.0%	2.0%	2.0%	-5.3%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
% gallon variance	16.0%	3.0%	-2.0%	1.0%	5.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% currency	-3.0%	-4.0%	-1.0%	-1.0%	-2.3%	-1.0%	-2.0%	-1.0%	0.0%	-1.8%	0.0%	0.0%	0.0%	0.0%	0.0%
% price/mix	3.0%	0.0%	2.0%	2.0%	1.8%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
% change structural	-18.0%	-3.0%	0.0%	0.0%	-6.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
TOTAL COMPANY	-0.1%	2.5%	3.8%	6.5%	3.2%	6.9%	5.8%	4.8%	4.3%	5.4%	4.8%	4.8%	4.7%	4.7%	4.8%
% change volume (days adj)	2.0%	-1.0%	0.6%	0.7%	0.5%	1.6%	1.8%	1.4%	1.4%	1.6%	2.2%	2.2%	2.2%	2.2%	2.2%
% gallon variance	-1.0%	0.0%	-0.7%	0.8%	-0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% currency	-5.0%	-3.0%	-0.9%	1.2%	-1.9%	2.1%	0.8%	0.6%	0.0%	0.8%	0.0%	0.0%	0.0%	0.0%	0.0%
% price/mix	5.0%	6.0%	5.0%	4.4%	5.1%	2.8%	2.7%	2.7%	2.7%	2.7%	2.8%	2.7%	2.7%	2.7%	2.7%
% change structural	-3.0%	0.0%	0.0%	0.0%	-0.7%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
% eliminations/other adjustments	1.9%	0.5%	-0.2%	-0.4%	0.4%	0.5%	0.4%	0.1%	0.1%	0.3%	-0.2%	-0.2%	-0.3%	-0.2%	-0.2%
US \$Bn	1Q25	2Q25	3Q25E	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
EMEA	2,673	3,206	2,946	2,795	11,620	2,927	3,414	3,108	2,921	12,370	3,059	3,568	3,247	3,052	12,028
Latin America	1,525	1,611	1,746	1,832	6,714	1,652	1,756	1,860	1,896	7,174	1,770	1,870	1,981	2,019	7,640
North America	4,364	5,040	5,168	4,906	19,478	4,495	5,191	5,323	5,053	20,062	4,630	5,347	5,483	5,204	20,664
Asia Pacific	1,441	1,589	1,411	1,240	5,681	1,592	1,716	1,524	1,339	6,172	1,720	1,853	1,646	1,446	6,665
Bottling Investments	1,463	1,411	1,329	1,613	5,816	1,536	1,467	1,396	1,710	6,109	1,628	1,555	1,479	1,812	6,476
Corporate	26	39	21	23	109	26	39	21	23	109	26	39	21	23	109
Eliminations	(276)	(279)	(213)	(258)	(1,026)	(246)	(235)	(223)	(274)	(977)	(261)	(249)	(237)	(290)	(1,036)
Net Sales	11,216	12,617	12,408	12,151	48,392	11,993	13,349	13,007	12,668	51,018	12,572	13,984	13,620	13,268	53,444
% change	-0.1%	2.5%	3.8%	6.5%	3.2%	6.9%	5.8%	4.8%	4.3%	5.4%	4.8%	4.8%	4.7%	4.7%	4.8%
Cost of goods sold	4,195	4,766	4,783	4,892	18,637	4,498	5,049	5,014	5,101	19,662	4,690	5,261	5,223	5,316	20,490
as a % of net sales	37.4%	37.8%	38.5%	40.3%	38.5%	37.5%	37.8%	38.5%	40.3%	38.5%	37.3%	37.6%	38.3%	40.1%	38.3%
Change as % of net sales (bps)	(32)	(79)	(30)	(30)	(41)	10	5	-	-	3	(20)	(20)	(20)	(20)	(20)
% change	-1%	0%	3%	6%	2%	7%	6%	5%	4%	6%	4%	4%	4%	4%	4%
Gross profit	7,021	7,851	7,625	7,258	29,755	7,495	8,300	7,993	7,567	31,356	7,883	8,723	8,397	7,952	32,954
as a % of net sales	62.6%	62.2%	61.5%	59.7%	61.5%	62.5%	62.2%	61.5%	59.7%	61.5%	62.4%	61.7%	59.9%	59.9%	61.7%
Change as % of net sales (bps)	32	79	30	30	41	(10)	(5)	-	-	(3)	20	20	20	20	20
% change	0%	4%	4%	7%	4%	7%	6%	5%	4%	5%	5%	5%	5%	5%	5%
Total SG&A	3,234	3,470	3,669	4,192	14,565	3,426	3,656	3,812	4,338	15,232	3,552	3,787	3,950	4,502	15,791
as a % of net sales	28.8%	27.5%	29.6%	34.5%	30.1%	28.6%	27.4%	29.3%	34.2%	29.9%	28.3%	27.1%	29.0%	33.9%	29.5%
Change as % of net sales (bps)	(100)	(114)	(86)	(96)	(94)	(27)	(11)	(26)	(26)	(24)	(31)	(31)	(31)	(31)	(31)
% change	-3%	-2%	1%	4%	0%	6%	5%	4%	3%	5%	4%	4%	4%	4%	4%
Operating income	3,787	4,381	3,956	3,066	15,190	4,070	4,644	4,181	3,230	16,124	4,330	4,936	4,447	3,450	17,164
as a % of net sales	33.8%	34.7%	31.9%	25.2%	31.4%	33.9%	34.8%	32.1%	25.5%	31.6%	34.4%	35.3%	32.7%	26.0%	32.1%
Change as % of net sales (bps)	133	194	116	126	136	17	6	26	26	21	51	51	51	51	51
% change	4.0%	8.5%	7.8%	12.2%	7.8%	7.5%	6.0%	5.7%	5.3%	6.1%	6.4%	6.3%	6.4%	6.8%	6.4%
Interest Expense, net	(213)	(263)	(273)	(261)	(1,010)	(269)	(207)	(235)	(228)	(939)	(246)	(157)	(206)	(196)	(805)
Interest expense	393	451	453	453	1,749	428	428	419	411	1,885	402	393	385	376	1,556
Interest income and other	180	188	180	191	739	159	221	184	182	746	156	236	179	180	751
Bottling Equity Income, net	359	581	548	393	1,880	388	627	592	424	2,031	419	678	639	458	2,193
% change	-5.3%	3.6%	2.0%	2.0%	1%	8.0%	8.0%	8.0%	8.0%	8%	8.0%	8.0%	8.0%	8.0%	8%
Other income (expense)	28	47	69	36	180	28	47	69	36	180	28	47	69	36	180
Income Before Taxes	3,961	4,746	4,300	3,234	16,241	4,216	5,112	4,606	3,461	17,395	4,532	5,503	4,949	3,748	18,732
as a % of net sales	35.3%	37.6%	34.7%	26.6%	33.6%	35.2%	38.3%	35.4%	27.3%	34.1%	36.0%	39.4%	36.3%	28.3%	35.0%
Change as % of net sales (bps)	94	146	31	105	87	(16)	68	76	71	54	89	106	93	93	95
% change	3%	7%	5%	11%	6%	6%	8%	7%	7%	7%	8%	8%	7%	8%	8%
Tax Rate	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%	20.8%
Provision for Income Taxes	824	987	894	673	3,378	877	1,063	958	720	3,618	942	1,145	1,029	780	3,866
NI from Noncontrolling interests	(5)	7	3	(13)	(8)	-	12	8	(6)	12	5	17	13	(3)	32
Net Income	3,132	3,766	3,409	2,548	12,855	3,339	4,061	3,656	2,733	13,790	3,594	4,376	3,933	2,966	14,868
as a % of net sales	27.9%	29.8%	27.5%	21.0%	26.6%	27.8%	30.4%	28.1%	21.6%	27.0%	28.6%	31.3%	28.9%	22.4%	27.8%
Change as % of net sales (bps)	15	48	(54)	9	(1)	(8)	57	64	60	46	74	87	77	78	79
% change	0%	4%	2%	7%	3%	7%	8%	7%	7%	7%	8%	8%	8%	8%	8%
Diluted Earnings Per Share	\$ 0.73	\$ 0.87	\$ 0.79	\$ 0.59	\$ 2.98	\$ 0.78	\$ 0.94	\$ 0.85	\$ 0.64	\$ 3.20	\$ 0.84	\$ 1.02	\$ 0.92	\$ 0.69	\$ 3.46
% growth	0.6%	4.2%	2.1%	7.2%	3.3%	6.7%	8.1%	7.5%	7.6%	7.5%	7.9%	8.1%	7.9%	8.8%	8.1%
Average Shares Outstanding - Diluted	4,313	4,315	4,313	4,311	4,313	4,308	4,305	4,302	4,299	4,304					

Investment Thesis, Valuation and Risks

Coca-Cola (Overweight; Price Target: \$79.00)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2026 price target is \$79, based on 22.7x P/E (in-line with KO's 10-year average multiple) on our 2027 EPS estimate of \$3.46, despite some deceleration in volume (still best-in-class), better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$79 price target implies ~19% upside potential in the next approximately 15 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements – all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25A	3Q25E	4Q25E	
Revenue	45,784	46,897	48,392	51,018	53,444	Revenue	11,216A	12,617A	12,408	12,151	
COGS	(18,465)	(18,254)	(18,637)	(19,662)	(20,490)	COGS	(4,195)A	(4,766)A	(4,783)	(4,892)	
Gross profit	27,319	28,643	29,755	31,356	32,954	Gross profit	7,021A	7,851A	7,625	7,258	
SG&A	(13,983)	(14,558)	(14,565)	(15,232)	(15,791)	SG&A	(3,234)A	(3,470)A	(3,669)	(4,192)	
Adj. EBITDA	14,464	15,160	16,359	17,440	18,615	Adj. EBITDA	4,054A	4,660A	4,265	3,380	
D&A	(1,128)	(1,075)	(1,169)	(1,316)	(1,451)	D&A	(267)A	(279)A	(309)	(314)	
Adj. EBIT	13,336	14,085	15,190	16,124	17,164	Adj. EBIT	3,787A	4,381A	3,956	3,066	
Net Interest	(645)	(693)	(1,010)	(939)	(805)	Net Interest	(213)A	(263)A	(273)	(261)	
Adj. PBT	14,403	15,333	16,241	17,395	18,732	Adj. PBT	3,961A	4,746A	4,300	3,234	
Tax	(2,737)	(2,852)	(3,378)	(3,618)	(3,896)	Tax	(824)A	(987)A	(894)	(673)	
Minority Interest	11	(18)	(8)	12	32	Minority Interest	(5)A	7A	3	(13)	
Adj. Net Income	11,677	12,463	12,855	13,790	14,868	Adj. Net Income	3,132A	3,766A	3,409	2,548	
Reported EPS	2.69	2.88	2.98	3.20	3.46	Reported EPS	0.73A	0.87A	0.79	0.59	
Adj. EPS	2.69	2.88	2.98	3.20	3.46	Adj. EPS	0.73A	0.87A	0.79	0.59	
DPS	1.83	1.93	2.04	2.16	2.29	DPS	0.02A	0.51A	0.51	1.00	
Payout ratio	68.1%	67.1%	68.5%	67.3%	66.0%	Payout ratio	2.8%A	58.3%A	64.3%	169.6%	
Shares outstanding	4,339	4,320	4,313	4,304	4,292	Shares outstanding	4,313A	4,315A	4,313	4,311	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	9,366	10,828	8,676	8,500	7,815	Gross margin	59.7%	61.1%	61.5%	61.5%	61.7%
Accounts receivable	3,410	3,569	4,202	4,520	4,879	EBITDA margin	31.6%	32.3%	33.8%	34.2%	34.8%
Inventories	4,424	4,728	5,000	5,269	5,549	EBIT margin	29.1%	30.0%	31.4%	31.6%	32.1%
Other current assets	9,532	6,872	8,070	8,269	8,477	Net profit margin	25.5%	26.6%	26.6%	27.0%	27.8%
Current assets	26,732	25,997	25,948	26,558	26,720	ROE	46.7%	49.1%	48.5%	45.5%	42.5%
PP&E	9,236	10,303	11,614	12,614	13,589	ROA	12.3%	12.6%	12.5%	13.1%	13.9%
LT investments	118	0	0	0	0	ROCE	16.8%	17.0%	16.5%	16.3%	17.1%
Other non current assets	61,617	64,249	66,940	66,940	66,940	SG&A/Sales	30.5%	31.0%	30.1%	29.9%	29.5%
Total assets	97,703	100,549	104,502	106,112	107,250	Net debt/equity	1.1	1.2	1.3	1.0	0.8
Short term borrowings	4,557	1,499	4,379	4,379	4,379	P/E (x)	24.7	23.0	22.3	20.7	19.2
Payables	15,485	21,715	16,639	17,348	18,078	P/BV (x)	11.1	11.5	10.2	8.8	7.6
Other short term liabilities	3,529	2,035	1,569	1,076	541	EV/EBITDA (x)	20.6	19.9	18.8	17.5	16.2
Current liabilities	23,571	25,249	22,587	22,803	22,999	Dividend Yield	2.8%	2.9%	3.1%	3.2%	3.4%
Long-term debt	35,547	42,375	44,976	41,976	37,976	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Other long term liabilities	11,105	6,553	7,231	7,231	7,231	Interest cover (x)	22.4	21.9	16.2	18.6	23.1
Total liabilities	70,223	74,177	74,794	72,010	68,206	Operating leverage	126.2%	231.0%	246.2%	113.3%	135.5%
Shareholders' equity	25,941	24,856	28,111	32,505	37,447	Revenue y/y Growth	6.4%	2.4%	3.2%	5.4%	4.8%
Minority interests	1,539	1,516	1,597	1,597	1,597	EBITDA y/y Growth	6.3%	4.8%	7.9%	6.6%	6.7%
Total liabilities & equity	97,703	100,549	104,502	106,112	107,250	Tax rate	19.0%	18.6%	20.8%	20.8%	20.8%
BVPS	5.98	5.75	6.52	7.55	8.73	Adj. Net Income y/y Growth	8.1%	6.7%	3.1%	7.3%	7.8%
y/y Growth	7.9%	(3.8%)	13.3%	15.9%	15.5%	EPS y/y Growth	8.4%	7.2%	3.3%	7.5%	8.1%
Net debt/(cash)	29,701	31,674	38,112	35,288	31,973	DPS y/y Growth	4.7%	5.6%	5.5%	5.7%	6.0%
Cash flow from operating activities	11,599	6,805	5,579	14,536	15,667						
o/w Depreciation & amortization	1,128	1,075	1,169	1,316	1,451						
o/w Changes in working capital	(846)	(6,234)	(9,875)	(77)	(117)						
Cash flow from investing activities	(3,349)	2,524	(1,731)	(2,316)	(2,426)						
o/w Capital expenditure	(1,852)	(2,064)	(2,204)	(2,316)	(2,426)						
as % of sales	4.0%	4.4%	4.6%	4.5%	4.5%						
Cash flow from financing activities	(8,310)	(6,910)	(6,379)	(12,396)	(13,927)						
o/w Dividends paid	(7,952)	(8,359)	(8,801)	(9,285)	(9,816)						
o/w Net debt issued/(repaid)	1,857	2,528	2,690	(3,000)	(4,000)						
Net change in cash	(133)	1,796	(2,199)	(176)	(686)						
Adj. Free cash flow to firm	9,747	4,741	3,375	12,220	13,241						
y/y Growth	2.2%	(51.4%)	(28.8%)	262.1%	8.4%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68
10-Jul-24	OW	62.69	72
30-Sep-24	OW	71.79	78
23-Oct-24	OW	69.45	75
28-Jan-25	OW	63.87	70
11-Feb-25	OW	64.55	74
21-Apr-25	OW	73.00	78
29-Apr-25	OW	71.79	79
18-Jul-25	OW	70.59	77
22-Jul-25	OW	70.07	79

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